SAP ERP - Financial Accounting

Profit & Loss Variance Report

Company Code:	1000	Period:	03/2024
Company Name:	ACME Corporation Ltd.	Currency:	USD
Report Date:	2024-04-01	User:	SAPUSER01

Actual vs Budget Variance Analysis - Q1 2024

GL Account	Account Description	Actual	Budget	Variance	Var %
4000	Sales Revenue - Products	2,450,000	2,200,000	250,000	11.4%
4100	Sales Revenue - Services	890,000	950,000	-60,000	-6.3%
4200	Other Operating Income	45,000	40,000	5,000	12.5%
	Total Revenue	3,385,000	3,190,000	195,000	6.1%
5000	Cost of Goods Sold - Materials	980,000	850,000	-130,000	-15.3%
5100	Cost of Goods Sold - Labor	420,000	400,000	-20,000	-5.0%
5200	Manufacturing Overhead	215,000	200,000	-15,000	-7.5%
	Total COGS	1,615,000	1,450,000	-165,000	-11.4%
	Gross Profit	1,770,000	1,740,000	30,000	1.7%
6000	Payroll Expenses	650,000	620,000	-30,000	-4.8%
6100	Rent & Facilities	120,000	120,000	0	0.0%
6200	IT & Software Licenses	95,000	80,000	-15,000	-18.8%
6300	Marketing & Advertising	180,000	150,000	-30,000	-20.0%
6400	Professional Fees	75,000	60,000	-15,000	-25.0%
6500	Travel & Entertainment	42,000	35,000	-7,000	-20.0%
6600	Utilities & Telecom	28,000	30,000	2,000	6.7%
6700	**Office Supplies**	15,000	15,000	0	0.0%
6800	Depreciation	85,000	85,000	0	0.0%
	Total Operating Expenses	1,290,000	1,195,000	-95,000	-7.9%
	Operating Profit (EBIT)	480,000	545,000	-65,000	-11.9%

7000	**Interest Income**	8,000	5,000	3,000	60.0%
7100	Interest Expense	-25,000	-20,000	-5,000	-25.0%
7200	**Foreign Exchange Gain/Loss**	-12,000	0	-12,000	n/a
	Net Profit Before Tax	451,000	530,000	-79,000	-14.9%
8000	Income Tax Expense	-112,750	-132,500	19,750	14.9%
	Net Profit After Tax	338,250	397,500	-59,250	-14.9%

Key Observations:

1. **Revenue Performance:** Product sales exceeded budget by 11.4% ($250k favorable), however service revenue underperformed by 6.3% ($60k unfavorable).

2. **Cost Overruns:** Material costs are significantly over budget by 15.3% ($130k), indicating potential supply chain issues or pricing increases.

3. **Operating Expense Issues:** Marketing spend exceeded budget by 20% ($30k) and Professional Fees by 25% ($15k). Both require immediate review.

4. **Bottom Line Impact:** Net profit is 14.9% below budget ($59k shortfall), primarily driven by higher COGS and increased operating expenses.

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